TOPIC 2 · AUSTRALIA'S PLACE IN THE GLOBAL ECONOMY

The Conversation (Lurion De Mello, Macquarie University)
5 November 2026

Diesel squeeze: Australia pays more to find new suppliers

Australia is the world's largest buyer of seaborne diesel. War in the Gulf and drone strikes on Russian refineries have reshaped the global diesel trade, and Australia is paying billions more to keep fuel coming.

WHAT HAPPENED

- Australia imported about 28 billion litres of diesel last year, almost 8% of all diesel traded by sea.
- Iran closed the Strait of Hormuz on 28 February. Russia's share of world diesel shipments fell from 12% to 2%.
- The US is now the top diesel exporter, shipping 49% more than its 2025 average. Asian refiners supply almost 40% of world diesel shipments, up from 28%.
- Diesel peaked at A$3.20 a litre and is still about A$2.79, almost $1 higher than a year ago. The Climate Council estimates Australia paid an extra $9b for imports between March and August.
- South Korea now supplies almost half of Australia's diesel, and Indian supply has stopped completely. Korean refineries still depend on Middle East crude.

$9b
Extra paid for diesel imports, March–August (Climate Council)

A$2.79
Diesel price per litre, almost $1 higher than a year ago

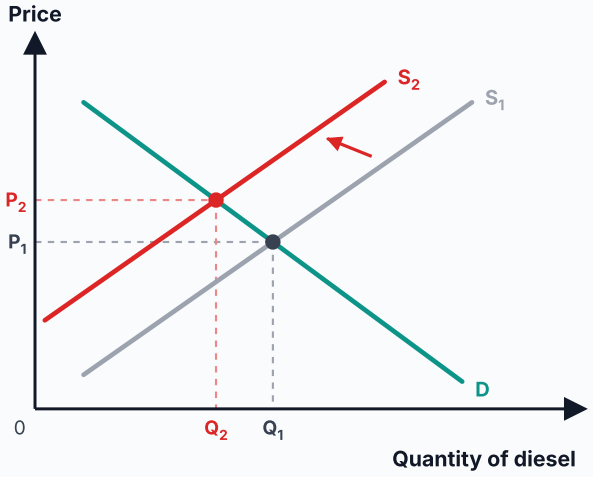
~50%
Share of Australia's diesel now coming from South Korea

Import dependence: relying on foreign suppliers for an essential good

Fuel security: the ability to keep reliable fuel supplies flowing during disruptions

DIAGRAM

A supply shock in the world diesel market



Blocking Hormuz and damaging Russian refineries shifts world diesel supply from **S_1 to S_2**. Because freight, mining and farming can't easily switch fuels, demand is **inelastic**, so the price jumps from **P_1 to P_2** while quantity falls only a little.

Australia still buys almost as much diesel, but pays much more for it: the import bill rises.

Exam angle: Link this to **external stability**: a higher fuel import bill widens the trade deficit on fuels and feeds **imported cost-push inflation**. That is part of why the RBA's inflation forecasts were revised up.

SYLLABUS LINK

Topic 2 – Composition and direction of Australia's trade and import dependence; Topic 3 – External stability and imported inflation.

TRY THIS

1. Explain how a rise in world diesel prices affects Australia's balance on goods and its CPI. **(4 marks)**
2. Does relying on fewer suppliers make Australia more vulnerable to global shocks? Discuss. **(6 marks)**

Read more: theconversation.com/as-diesel-from-the-gulf-and-russia-dried-up-australia-had-to-find-new-suppliers-at-a-cost-295461

Summary written in our own words for classroom use